Claude and EVNew Algo In-Class Python Code

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The case brief and in-class python code for the EVNew Algo case were both uploaded into Claude, which produced the following response:

Thanks for sharing your code! I can see you've built a framework to parse news and calculate valuations.
Let me provide some feedback on what I see:

Current Strengths:

1. **Good news parsing structure** - You're extracting EPS estimates, ownership estimates, and actual EPS from news
2. **Correct valuation formulas** - Your DDM and P/E calculations look accurate
3. **Data tracking** - You're maintaining separate arrays for estimates vs actuals

Of course, the writer of the case and example code is awesome.

Key Issues and Suggestions:

1. Missing Trading Logic

Your code calculates valuations but never places any trades! You need to:

- Get current market prices
- Compare your calculated fair values to market prices
- Submit buy/sell orders when mispricing exists
- Manage positions within the constraints (100k gross, 50k net, 10k max order size)

This is intentional, to allow you to come up with your own trading logic / conditions. You have examples from ALGO2e and ALGO4 as reference for how you might go about creating the logic

2. Valuation Formula Issues

For TP and AS (DDM): Your dividend growth rate calculation has a conceptual issue. You're calculating:
TP_g = (TP_eps / 1.43) - 1
But this is EPS growth, not dividend growth. Since the payout ratio is constant, dividend growth = EPS growth, so this works, but it's important to understand why.
For BA (P/E with growth adjustment):
BA_pe_inst = 20 * (1 + BA_g) * BA_eps
This should be:
BA_pe_inst = 20 * (1 + BA_g) * BA_eps # P/E ratio is 20*(1+g), then multiply by EPS
Actually, you have it right but it's clearer to write:
BA_pe_inst = BA_eps * 20 * (1 + BA_g)

Perhaps because language models are the origins of generative AI, Claude seems to enjoy rewording formulas to no particular effect other than style.

3. Initial EPS Values

You should update eps_val at the start to use last year's actual values from the case brief as the baseline until you get new information.

Likely a good addition

4. Position Tracking

You need to track:

- Current positions in each stock
- Gross position (sum of absolute values)
- Net position (sum of signed values)

All good ideas to think about implementing as part of your trading logic.

5. Risk Management

Consider adding:

- Uncertainty bands around your ownership and EPS estimates
- Position sizing based on confidence level
- Rebalancing logic as new information arrives

Would you like me to create an enhanced version of your code that includes:

1. Trading logic with order submission

Since we won't have time to discuss in class, one idea to consider is creating ranges for the valuation using the high / low values you can compute from the news estimates. See my Claude prompt below.

2. Position management
3. Better handling of estimate uncertainties
4. Risk controls for position limits?

Can you create high / low valuation estimates that incorporate the variability in earnings and institutional ownership?

I won't copy it here as it is too large, but Claude produced runnable code, a strategy guide, and a visualization tool. It might all be a bit much for our purposes in the course, but an interesting example of how much farther you can push AI than the ALGO2e or ALGO4 cases illustrate..